Lear Corporation

Expect Modest Outperformance on 3Q Margin Beat and Better-than-Feared 4Q EBIT Guidance

Neutral

LEA, LEA US
Price (29 Oct 26):$117.38

Autos & Auto Parts

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Quick take: 3Q revenue was in-line with Sept conference commentary, while EBIT came in slightly ahead (+4% vs. JPMe, in-line with consensus), aided by better-than-expected E-systems margins (4.8% vs. prior commentary of 'low 4%') - net performance benefits (+120bps y/y) drove the strong beat, offsetting large decrementals in volume/business wind-down ($10 mn EBIT headwind on ~$20 mn net revenue decline). 3Q organic growth of +2% vs slightly below JPMe of +3% and full-year revenue outlook was cut, implying ~3% downside to JPMe/consensus for 4Q. Importantly, implied 4Q EBIT guide, while a wider-than-normal range, was in-line at the mid-point (and at ~15% decrementals), relative to peer prints that suggested meaningful downward revisions. Net-net, given the complexion of better 3Q margins and better-than-feared 4Q guide, we expect modest outperformance today, pending further updates on the call on 2027 growth/margin outlook.

See Table 1 and Table 2 for results vs. JPMe/consensus and implied 4Q26 guidance.

Other Key Takeaways: ***1)*** LEA lowered its 2026 revenue midpoint by ~$225 mn to ~$23.6 bn, reflecting ~$256 mn of lower volume/mix and backlog and ~$44 mn of FX headwinds, partially offset by ~$75 mn of pass-through, commercial recoveries and other items, while maintaining EBIT guidance at $1,140 mn. The EBIT bridge reflects volume/mix headwinds offset by higher restructuring savings and positive net performance, while FCF guidance was reduced by ~$25 mn to ~$615 mn alongside higher restructuring costs of ~$200 mn vs. ~$175 mn prior; ***2)*** operating performance remained solid across both segments, with Seating margin of 6.3% broadly in line with expectations and E-Systems margin of 4.8% ahead of JPMe/consensus of 4.3%/4.3%, supported by productivity improvements. LEA has generated >$55 mn of IDEA by Lear automation savings YTD vs. its ~$75 mn 2026 target and >$70 mn of restructuring savings vs. its ~$80 mn target, while targeting ~40 bps of Seating and ~80 bps of E-Systems net performance improvement for 2026; ***3)*** LEA secured ~$3.9 bn of new business awards YTD across Seating and E-Systems, including a significant replacement and new program award with a North American OEM, its largest complete-seat award in India with Mahindra, complete-seat programs with Chinese automakers and BYD in Indonesia, alongside ComfortFlex, ComfortMax Seat and FlexAir awards with JLR and Mercedes. The Orion, Michigan seating facility remains on track to begin production in 2027, with automation expected to reduce conversion costs by ~10–15% and provide a blueprint for broader manufacturing improvements; ***4)*** LEA maintained its global industry production assumption at -2% y/y but lowered China expectations to -7% vs. -5% prior, while LEA-weighted production is now expected to decline ~1% vs. -2% prior. The company delivered ~4% GoM in Seating and ~2% in E-Systems during 3Q, although China remained challenging, with ~18% (ex-unconsolidated sales); and ***5)*** LEA repurchased $175 mn of shares (~3% of Mcap) in 3Q, bringing YTD repurchases to ~$350 mn (~6% of Mcap), and increased its repurchase authorization to $1.5 bn (~26% of Mcap) through 2029.

See page 4 for analyst certification and important disclosures.

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Key questions for the call: ***1)*** Drivers of the unchanged 2026 EBIT outlook despite lower sales expectations, including the sustainability of productivity and restructuring benefits into 2027, and reasons for maintaining a relatively wide $120 mn EBIT guidance range with only one quarter remaining vs. the narrower ~$60 mn range at this stage last year; ***2)*** sustainability of E-Systems margin improvements, including the potential for further profitability gains from portfolio optimization, restructuring and automation, alongside the trajectory of Seating margins and incremental benefits from IDEA by Lear; ***3)*** drivers of the reduced FCF outlook, including higher restructuring costs, working capital assumptions and the potential for improved cash conversion in 2027; ***4)*** outlook for customer production schedules and LEA's growth over market, particularly in China given continued , alongside visibility into the timing and conversion of ~$3.9 bn of YTD new business awards into revenue; and ***5)*** expected incremental automation and restructuring savings in 2027, including the ramp of the Orion facility, potential replication of its manufacturing technologies across other plants and capital allocation cadence following the expanded repurchase authorization.

Table 1: LEA 3Q26 Actuals vs. prior JPMe/Consensus (adjusted for one-timers)

$ mn except per share

	Actual 3Q26	JPMe 3Q26	(%) Diff vs. JPMe	Consensus 3Q26	(%) Diff vs. Consensus	Actual 3Q26 (% y/y)
Net Sales	**5,773**	**5,817**	**(0.8%)**	**5,808**	**(0.6%)**	**1.6%**
EBIT	**256**	**247**	**3.6%**	**256**	**(0.2%)**	**6.1%**
Seating	274	272	0.7%	281	(2.5%)	4.9%
E-Systems	69	60	15.4%	60	15.4%	15.7%
Eliminations	(87)	(85)	2.5%	(85)	2.1%	9.4%
EBIT Margin (%)	**4.4%**	**4.2%**	**19 bps**	**4.4%**	**2 bps**	**18 bps**
Seating	6.3%	6.2%	18 bps	6.4%	-3 bps	18 bps
E-Systems	4.8%	4.3%	49 bps	4.3%	47 bps	60 bps
Net Income	**185**	**166**	**11.6%**	**166**	**11.7%**	**23.5%**
Diluted EPS	**$3.71**	**$3.39**	**9.3%**	**$3.32**	**11.6%**	**32.8%**
Share Repurchases	175	175	0.0%	150	16.7%	70.6%
Operating Cash Flow	**329**	**290**	**13.4%**	**310**	**6.2%**	**(25.9%)**
Capex	171	175	(2.1%)	176	(2.7%)	24.4%
Free Cash Flow	158	116	36.7%	136	16.8%	(48.4%)
Organic Growth (y/y)	1.9%	2.7%	-78 bps			244 bps

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates.

Table 2: LEA Implied 4Q26 & 2026 Guidance vs. prior JPMe/Consensus

$ mn except per share

4Q26	4Q26 Implied Guide	4Q26 JPMe	(%) Diff vs. JPMe	4Q26 Consensus	(%) Diff vs. Consensus
Net Sales	5,745	5,978	(3.9%)	5,943	3.4%
EBIT	274	271	1.0%	272	(0.7%)
EBIT Margin (%)	4.8%	4.5%	23 bps	4.6%	19 bps

Full Year 2026	New Guide	Prior Guide	(%) Diff vs. Prior	2026 JPMe	(%) Diff vs. Prior JPMe	2026 Consensus	(%) Diff vs. Prior Consensus
Net Sales	23,550	23,775	(0.9%)	23,827	(1.2%)	23,788	(1.0%)
EBITDA	1,760	1,760	0.0%	1,748	0.7%	1,752	0.5%
EBITDA Margin (%)	7.5%	7.4%	7 bps	7.3%	14 bps	7.4%	11 bps
EBIT	1,140	1,140	0.0%	1,128	1.0%	1,140	0.0%
EBIT Margin (%)	4.8%	4.8%	5 bps	4.7%	11 bps	4.8%	5 bps
Net Income	725	725	0.0%	762	(4.8%)	751	(3.4%)
Operating Cash Flow	1,275	1,300	(1.9%)	1,278	(0.3%)	1,303	(2.1%)
Capex	660	660	0.0%	663	(0.5%)	659	0.1%
FCF	615	640	(3.9%)	615	(0.0%)	606	1.4%

ompany reports, Bloomberg Finance L.P., and J.P. Morgan estimates.

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Table 3: 3Q26 Organic Growth % y/y Tracker vs. Peers

% y/y Blue= Actual, Red= JPMe

Ticker	Organic Growth in 1Q26 (Actual)	Organic Growth in 2Q26 (Actual)	Organic Growth in 3Q26 (JPMe)	Organic Growth in 4Q26 (JPMe)	Organic Growth in 2026 (JPMe)	Organic Growth in 2027 (JPMe)	Organic Growth in 2028 (JPMe)
ADNT*	3%	4%	-2%	0%	1%	1%	2%
APTV	0%	2%	-1%	4%	1%	4%	5%
BWA	-4%	-1%	-3%	-2%	-3%	4%	7%
DAN	-2%	3%	6%	7%	4%	4%	4%
DCH	1%	1%	-4%	-10%	-4%	-1%	2%
GNTX	2%	1%	1%	5%	7%	6%	7%
GTX	6%	5%	3%	5%	5%	3%	7%
LEA	0%	1%	2%	0%	1%	1%	5%
MGA	-2%	2%	-4%	-2%	-2%	1%	2%
THRM	7%	10%	4%	7%	7%	5%	3%
VC	-1%	-3%	5%	2%	0%	9%	8%
Average	**1%**	**2%**	**1%**	**1%**	**2%**	**3%**	**5%**

Source: Company reports and J.P. Morgan estimates
Note: *ADNT numbers refer to fiscal quarters instead of calendar quarters.

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Lear Corporation (LEA, LEA US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 17, 2009. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
06-Nov-23	OW	130.76	195
25-Jan-24	OW	130.39	179
12-Feb-24	OW	134.75	177
22-Apr-24	OW	132.86	179
22-Jul-24	OW	118.19	166
26-Jul-24	OW	120.76	162
21-Oct-24	OW	108.96	160
31-Oct-24	OW	97.82	147
27-Jan-25	OW	96.29	143
07-Feb-25	OW	94.66	140
23-Apr-25	OW	80.85	119
08-May-25	OW	85.78	120
28-Jul-25	OW	99.39	119
20-Oct-25	OW	99.46	133
03-Nov-25	OW	104.65	138
05-Feb-26	OW	132.45	154
23-Apr-26	OW	128.07	152
14-May-26	OW	137.61	153
10-Jul-26	OW	134.76	159
03-Aug-26	OW	130.64	175
15-Sep-26	N	128.87	150

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